TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONVENIENCE TRANSLATION INTO ENGLISH OF CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE INTERIM PERIOD 1 JANUARY - 30 SEPTEMBER 2014

(ORIGINALLY ISSUED IN TURKISH)

CONVENIENCE TRANSLATION INTO ENGLISH OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.
INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE INTERIM PERIOD 1 JANUARY - 30 SEPTEMBER 2014

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CONVENIENCE TRANSLATION INTO ENGLISH OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONSOLIDATED BALANCE SHEETS
AT 30 SEPTEMBER 2014 AND 31 DECEMBER 2013

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 30 September 2014	*Audited* 31 December 2013
ASSETS			
Current assets:			
Cash and cash equivalents	3	1.893.208	1.673.250
Financial assets	4	230.126	73.545
Trade receivables			
- Due from related parties	19	177.107	239.587
- Other trade receivables	6	348.471	271.497
Receivables from finance sector operations	7	666.711	664.872
Other receivables		121	215
Inventories	8	455.173	379.433
Prepaid expenses		35.725	20.746
Current tax assets	18	-	15.539
Other current assets	13	24.376	51.716
Total current assets		**3.831.018**	**3.390.400**
Non-current assets:			
Receivables from finance sector operations	7	490.522	537.011
Investment properties	9	27.805	27.805
Property, plant and equipment	10	1.301.588	1.261.168
Intangible assets	11	629.248	622.867
Deferred tax assets	18	75.932	29.134
Prepaid expenses		188.650	54.387
Other non-current assets		5.338	5.430
Total non-current assets		**2.719.083**	**2.537.802**
Total assets		**6.550.101**	**5.928.202**

These interim condensed consolidated financial statements as of and for the interim period ended 30 September 2014 have been approved for issue by the Board of Directors on 5 November 2014 and signed on behalf of the Board of Directors by Chief Executive Officer Kamil Başaran, Chief Financial Officer Cengiz Eroldu, and Accounting Manager Doğu Özden.

CONVENIENCE TRANSLATION INTO ENGLISH OF INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONSOLIDATED BALANCE SHEETS
AT 30 SEPTEMBER 2014 AND 31 DECEMBER 2013

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 30 September 2014	*Audited* 31 December 2013
LIABILITIES			
Current liabilities:			
Short-term financial liabilities	5	231.312	58.547
Short-term portion of long-term financial liabilities	5	946.786	944.798
Trade payables			
- Due to related parties	19	907.348	705.832
- Other trade payables	6	538.927	664.280
Employee benefit liabilities		22.963	27.632
Deferred income		16.475	22.820
Income taxes payable	18	7.242	-
Government incentives and grants		13.480	22.275
Other provisions	12	115.032	63.374
Other current liabilities	13	65.459	56.154
Total current liabilities		**2.865.024**	**2.565.712**
Non-current liabilities:			
Long-term financial liabilities	5	1.451.742	1.280.886
Government incentives and grants		52.459	43.663
Long-term provisions			
- Provisions for employment termination benefits		141.285	139.127
Total non-current liabilities		**1.645.486**	**1.463.676**
Total liabilities		**4.510.510**	**4.029.388**
Equity:			
Paid-in share capital		500.000	500.000
Inflation adjustment on equity items		348.382	348.382
Other comprehensive income/(losses) not to be reclassified under profit and losses			
- Actuarial loss on post employment termination benefit obligation		(11.856)	(11.856)
Other comprehensive income/(losses) to be reclassified under profit and losses			
- Cumulative losses on hedging		(177.554)	(247.611)
Restricted reserves		213.053	187.983
Retained earnings		771.846	687.693
Net profit for the year		395.720	434.223
Total equity		**2.039.591**	**1.898.814**
Total liabilities and equity		**6.550.101**	**5.928.202**

The accompanying notes form an integral part of these interim condensed consolidated financial statements.

CONVENIENCE TRANSLATION INTO ENGLISH OF CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONSOLIDATED STATEMENTS OF PROFIT AND LOSS FOR THE INTERIM PERIODS ENDED 30 SEPTEMBER 2014 AND 2013

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 1 January - 30 September 2014	*Unaudited* 1 July - 30 September 2014	*Unaudited* 1January - 30 September 2013	*Unaudited* 1 July - 30 September 2013
Revenue	14	5.180.509	1.684.765	5.148.207	1.659.730
Cost of sales (-)		(4.534.054)	(1.489.345)	(4.529.718)	(1.459.109)
Gross profit from operations		**646.455**	**195.420**	**618.489**	**200.621**
Revenue from finance sector operations		132.237	44.435	136.173	43.298
Expenses from finance sector operations(-)		(89.488)	(29.596)	(96.421)	(30.974)
Gross profit from finance sector operations		**42.749**	**14.839**	**39.752**	**12.324**
Gross profit		**689.204**	**210.259**	**658.241**	**212.945**
Marketing selling and distribution expenses (-)	15	(157.784)	(55.691)	(153.160)	(49.955)
General administrative expenses (-)	15	(128.918)	(43.293)	(111.776)	(38.598)
Research and development expenses (-)	15	(5.067)	(782)	(10.340)	(1.837)
Other income from main operations	16	260.798	72.297	96.045	27.700
Other expense from main operations (-)	16	(315.550)	(91.158)	(191.090)	(80.897)
Operating profit		**342.683**	**91.632**	**287.920**	**69.358**
Financial income / (expense)	17	12.388	9.376	83.203	41.051
Profit before tax		**355.071**	**101.008**	**371.123**	**110.409**
Tax income		**40.649**	**26.047**	**(50.599)**	**(6.146)**
- Taxes on income		(23.662)	(9.214)	(39.643)	(673)
- Deferred tax income	18	64.311	35.261	(10.956)	(5.473)
Net profit for the period		**395.720**	**127.055**	**320.524**	**104.263**
Attributable to:					
Non-controlling interests		-	-	-	-
Parent company interests		395.720	127.055	320.524	104.263
Earnings per share	**20**	**0,79**	**0,25**	**0,64**	**0,21**

The accompanying notes form an integral part of these interim condensed consolidated financial statements.

CONVENIENCE TRANSLATION INTO ENGLISH OF CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONSOLIDATED STATEMENTS OF OTHER COMPREHENSIVE INCOME FOR THE INTERIM PERIODS ENDED 30 SEPTEMBER 2014 AND 2013

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 1 January - 30 September 2014	*Unaudited* 1 July - 30 September 2014	*Unaudited* 1 January - 30 September 2013	*Unaudited* 1 July - 30 September 2013
Net profit for the period		**395.720**	**127.055**	**320.524**	**104.263**
Other comprehensive income:					
Other comprehensive income not to be reclassified under profit and loss					
- Actuarial (loss)/gain on post employment termination benefit obligation		-	(2.106)	(3.510)	2.208
Tax income /(loss) of other comprehensive income			422	702	(441)
Other comprehensive income to be reclassified under profit and loss					
- Cumulative (losses)/gains on hedging		87.570	22.565	(107.360)	(68.826)
Tax income /(loss) of other comprehensive Income		(17.513)	(4.512)	21.472	13.765
Other comprehensive income (after tax)		**70.057**	**16.369**	**(88.696)**	**(53.294)**
Total comprehensive (expense)/income		**465.777**	**143.424**	**231.828**	**50.969**
Attributable to:					
Non-controlling interests		-	-	-	-
Parent company interests		465.777	143.424	231.828	50.969

The accompanying notes form an integral part of these interim condensed consolidated financial statements.

CONVENIENCE TRANSLATION INTO ENGLISH OF CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY FOR THE INTERIM PERIODS ENDED 30 SEPTEMBER 2014 AND 2013

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Paid-in share capital	Inflation adjustment on equity items	Restricted reserves	Cumulative (losses)/gains on hedging (*)	Cumulative actuarial (losses)/gains (*)	Prior year's profit/(loss)	Net profit for the period	Total equity
Balances at 1 January 2014	**500.000**	**348.382**	**187.983**	**(247.611)**	**(11.856)**	**687.693**	**434.223**	**1.898.814**
Transfers	-	-	25.070	-	-	409.153	(434.223)	-
Dividends paid	-	-	-	-	-	(325.000)	-	(325.000)
Total comprehensive income (*)	-	-	-	70.057	-	-	395.720	465.777
Balances at 30 September 2014	**500.000**	**348.382**	**213.053**	**(177.554)**	**(11.856)**	**771.846**	**395.720**	**2.039.591**
Balances at 1 January 2013	**500.000**	**348.382**	**149.301**	**(132.687)**	**(9.270)**	**764.336**	**442.039**	**2.062.101**
Transfers	-	-	38.682	-	-	403.357	(442.039)	-
Dividends paid	-	-	-	-	-	(480.000)	-	(480.000)
Total comprehensive income (*)	-	-	-	(85.888)	(2.808)	-	320.524	231.828
Balances at 30 September 2013	**500.000**	**348.382**	**187.983**	**(218.575)**	**(12.078)**	**687.693**	**320.524**	**1.813.929**

(*) Net off deferred tax amount.

The accompanying notes form an integral part of these condensed consolidated interim financial statements.

CONVENIENCE TRANSLATION INTO ENGLISH OF CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONSOLIDATED STATEMENTS OF CASH FLOWS FOR THE INTERIM PERIODS ENDED 30 SEPTEMBER 2014 AND 2013

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 30 September 2013	*Unaudited* 30 September 2012
Cash flows from operating activities			
Profit before tax		355.071	371.123
Adjustments to reconcile income before tax to net cash generated from operating activities:			
Depreciation and amortization	10, 11	257.161	241.924
Interest expense	16,17	51.480	27.657
Interest income	16,17	(67.705)	(65.370)
Provision for employment termination benefits and unused vacation liability		17.081	25.910
Loss on sale of property, plant and equipment		-	(187)
Doubtful receivable provision from finance sector operations		2.998	(2.947)
Warranty provision		31.123	30.137
Operating profit before working capital changes		**647.209**	**628.247**
Net working capital changes in:			
Trade receivables and due from related parties		(14.494)	371.188
Inventories		(75.740)	(74.508)
Other current/non-current assets and other receivables		(121.716)	(13.470)
Receivables from finance sector operations		41.652	38.567
Trade payables and due to related parties		76.163	1.087
Other current liabilities		9.305	45.727
Government incentives and grants		1	(13.427)
Other current/non-current payables		35.809	31.307
Employee termination benefits paid		(14.852)	(13.314)
Taxes paid		16.632	(55.532)
Warranty payments		(26.359)	(31.647)
Net cash generated from operating activities		**573.610**	**914.225**
Investing activities			
Interest received		68.352	68.635
Financial investments matured	4	73.545	166
Financial assets		(230.126)	(350)
Purchase of tangible and intangible assets	10, 11	(306.151)	(138.511)
Proceeds from sale of tangible and intangible assets		2.189	2.168
Net cash used in investing activities		**(392.191)**	**(67.892)**
Financing activities			
Interest paid		(48.532)	(23.112)
Dividend paid		(325.000)	(480.000)
Proceeds from bank loans		918.096	21.072
Bank loans paid		(505.378)	(148.848)
Net cash (used)/generated from financing activities		**39.186**	**(630.888)**
Net increase in cash and cash equivalents		**220.605**	**215.445**
Cash and cash equivalents at the beginning of the period		**1.670.467**	**1.630.455**
Cash and cash equivalents at the end of the period	**3**	**1.891.072**	**1.845.900**

The accompanying notes form an integral part of these condensed consolidated interim financial statements.

NOTE 1 - GROUP'S ORGANISATION AND NATURE OF OPERATIONS

Tofaş Türk Otomobil Fabrikası A.Ş. ("the Company" or "Tofaş") was established in 1968 as a Turkish-Italian cooperation venture. The core business of the Company is manufacturing, exporting and selling passenger cars and light commercial vehicles under licenses of Fiat Auto S.p.A. ("Fiat"). The Company, which is a joint venture of Koç Holding A.Ş. ("Koç Holding") and Fiat, also produces various automotive spare parts used in its automobiles. The Company's head office is located at Büyükdere Cad. No: 145 Zincirlikuyu Şişli, İstanbul. The manufacturing facilities are located at Bursa. The Company manufactures its cars, except for Mini Cargo and New Doblo, pursuant to license agreements between the Company and Fiat. The Company has been registered with the Turkish Capital Market Board ("CMB") and quoted on the İstanbul Stock Exchange ("ISE") since 1991,its shares are still exchanged in Borsa İstanbul A.Ş. ("BIST").

The Company conducts a significant portion of its business with affiliates of Koç Holding and Fiat Group (Note 19).

As of 30 September 2014 and 31 December 2013, consolidated subsidiaries of the Company are as follows:

		% of ownership	
Name of the company	**Operating area**	**30 September 2014**	**31 December 2013**
Koç Fiat Kredi Finansman A.Ş. ("KFK")	Consumer financing	99,9%	99,9%
Fer Mas Oto Ticaret A.Ş.	Trading of automobile and spare parts	100,0%	100,0%

For the purpose of the condensed consolidated financial statements, the Company and its consolidated subsidiaries are referred to as "Group".

The average number of personnel in accordance with their categories is as follows:

	30 September 2014	**31 December 2013**
Blue-collar	4.815	4.930
White-collar	1.500	1.389
	6.315	**6.319**

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS

2.1 Basis of presentation

2.1.1 Financial reporting standards

The accompanying consolidated financial statements are prepared in accordance with the Communiqué Serial II, No: 14.1, "Principles of Financial Reporting in Capital Markets" ("the Communiqué") published in the Official Gazette numbered 28676 on 13 June 2013. According to the article 5 of the Communiqué, consolidated financial statements are prepared in accordance with Turkish Accounting Standards/Turkish Financial Reporting Standards ("TAS/TFRS") and its addendum and interpretations ("IFRIC") issued by Public Oversight Accounting and Auditing Standards Authority ("POA") Turkish Accounting Standards Boards.

Group prepared its condensed consolidated interim financial statements for the period ended 30 September 2014 in accordance with the TAS 34 "Interim financial reporting" in the framework of the Communiqué Serial: XII and numbered 14.1 and its related announcements. The interim condensed consolidated financial statements and its accompanying notes are presented in compliance with the format recommended by CMB, including its mandatory information.

In compliance with the TAS 34, entities have preference in presenting their interim consolidated financial statements whether full set or condensed. In this framework, Group preferred to present its interim consolidated financial statements in condensed.

Group's interim condensed consolidated financial statement does not include all disclosures and notes that should be included at year-end financial statements. Therefore the interim condensed consolidated financial statements should be examined together with the year-end financial statements.

In accordance with the decision taken in the CMB meeting held on 7 June 2013, and in compliant with the announcement related to the format of financial statements and its accompanying notes, comparative figures have been reclassified to conform to the changes in presentation in the current period.

With the decision taken on 17 March 2005, the CMB announced that, effective from 1 January 2005, the application of inflation accounting is no longer required for companies operating in Turkey and preparing their financial statements in accordance with the financial reporting standards accepted by the CMB ("CMB Financial Reporting Standards"). Accordingly, TAS 29, "Financial Reporting in Hyperinflationary Economies", issued by the POA, has not been applied in the financial statements for the accounting year commencing 1 January 2005.

Group and its subsidiaries operating in Turkey maintains its accounting records and prepares its statutory financial statements in accordance with the Turkish Commercial Code (the "TCC"), tax legislation and the uniform chart of accounts issued by the Ministry of Finance. The interim condensed consolidated financial statements, except for the financial asset and liabilities presented with their fair values, are maintained under historical cost conversion in TRY. These interim condensed consolidated financial statements are based on the statutory records, which are maintained under historical cost conversion, with the required adjustments and reclassifications reflected for the purpose of fair presentation in accordance with the TAS/TFRS.

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS (Continued)

2.1.2 Comparatives and adjustment of prior periods' financial statements

In order to allow for the determination of the financial situation and performance trends the Group's consolidated financial statements have been presented comparatively with the previous year. Where necessary, comparative figures have been reclassified to conform to the changes in presentation in the current period.

The Group has amended the calculation method of unused investment incentive used in corporate tax income calculation and correspondingly in the final Corporate Tax Income Declaration, subject to tax calculation in the consolidated financial statements at 31 December 2013. As a result of the mentioned method change and in order to be consistent with the financial statements of the current period, "Deferred tax asset" and "Taxation on Income" classified under the consolidated balance sheets at 31 December 2013, have increased by TRY15.144.

2.1.3 Functional and reporting currency

The Group's functional and reporting currency is Turkish Lira ("TRY"). Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation are recognized in the consolidated statement of profit and loss.

2.1.4 Basis of consolidation

The control relation is normally evidenced when the Company owns, either directly or indirectly, more than 50% of the voting rights of a company's share capital and is able to govern the financial and operating policies of an enterprise so as to benefit from its activities. During consolidation inter-company balances and transactions, including inter-company profits and unrealized profits and losses are eliminated. The consolidated financial statements are prepared using consistent accounting policies for similar transactions and other events in similar circumstances. Minority shares of the Company in subsidiaries were not recognized under non-controlling interest ("Minority Interests" or "Non-controlling Interests") since they do not have a material effect in consolidated financial statements. Financial statements of the Company and its subsidiaries subject to consolidation were prepared as of the same date.

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS (Continued)

2.1.5 Significant accounting judgments, estimates and assumptions

The preparation of financial statements requires the Group management to make estimates and assumptions that affect certain reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting year. Actual results could differ from those estimates. Those estimates are reviewed periodically, and as adjustments become necessary, they are reported in earnings in the periods in which they become known.

Significant estimates used in the preparation of these financial statements and the significant judgments with the most significant effect on amounts recognized in the financial statements are as follows:

a) The Company determines warranty provision by considering the past warranty expenses and remaining warranty period per vehicle.

b) A specific credit risk provision for loan impairment has been established to provide for management's estimate of credit losses as soon as the recovery of an exposure is identified as doubtful. Impairment and uncollectability are measured and recognized individually for loans and receivables that are individually significant, and measured and recognized on a portfolio basis for a group of similar loans and receivables that are not individually identified as impaired. As of 30 September 2014, general provisions for finance loans amounted to TRY11.952 (31 December 2013: TRY14.106) has been booked in the consolidated financial statements.

2.2 Amendments in International Financial Reporting Standards

Group has implemented the new and revised standards and interpretations effective from 1 January 2014 which are related to its main operations.

Amendments to published standards and interpretations effective as at 30 September 2014

- Amendment to IAS 32,'Financial instruments:Presentation', on offsetting financial assets and financial liabilities, effective from annual periods beginning on or after 1 January 2014. This amendment updates the application guidance in IAS 32, 'Financial instruments: Presentation', to clarify some of the requirements for offsetting financial assets and financial liabilities on the balance sheet.

- Amendments to IFRS 10, 'Consolidated financial statements', IFRS 12 and IAS 27 for investment entities, effective from annual periods beginning on or after 1 January 2014. These amendments mean that many funds and similar entities will be exempt from consolidating most of their subsidiaries. Instead, they will measure them at fair value through profit or loss. The amendments give an exception to entities that meet an 'investment entity' definition and which display particular characteristics. Changes have also been made IFRS 12 to introduce disclosures that an investment entity needs to make.

- Amendments to IAS 36, 'Impairment of assets', effective from annual periods beginning on or after 1 January 2014. These amendments address the disclosure of information about the recoverable amount of impaired assets if that amount is based on fair value less costs of disposal.

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS (Continued)

- Amendment to IAS 39 'Financial instruments: Recognition and measurement', on novation of derivatives and hedge accounting, effective from annual periods beginning on or after 1 January 2014. These narrow-scope amendments allow hedge accounting to continue in a situation where a derivative, which has been designated as a hedging instrument.

- IFRIC 21, 'Levies', effective from annual periods beginning on or after 1 January 2014. This interpretation is on IAS 37, 'Provisions, contingent liabilities and contingent assets'. IAS 37 sets out criteria for the recognition of a liability, one of which is the requirement for the entity to have a present obligation as a result of a past event (known as an obligating event). The interpretation clarifies that the obligating event that gives rise to a liability to pay a levy is the activity described in the relevant legislation that triggers the payment of the levy.

- Amendment to IAS 19 regarding defined benefit plans, effective from annual periods beginning on or after 1 July 2014. These narrow scope amendments apply to contributions from employees or third parties to defined benefit plans. The objective of the amendments is to simplify the accounting for contributions that are independent of the number of years of employee service, for example, employee contributions that are calculated according to a fixed percentage of salary.

- Annual improvements 2012; effective from annual periods beginning on or after 1 July 2014. These amendments include changes from the 2010-12 cycle of the annual improvements project, that affect 7 standards:

  - IFRS 2, 'Share-based payment'
  - IFRS 3, 'Business Combinations'
  - IFRS 8, 'Operating segments'
  - IFRS 13, 'Fair value measurement'
  - IAS 16, 'Property, plant and equipment' and IAS 38,'Intangible assets'
  - Consequential amendments to IFRS 9, 'Financial instruments', IAS 37, 'Provisions, contingent liabilities and contingent assets', and
  - IAS 39, Financial instruments – Recognition and measurement'

- Annual improvements 2013; effective from annual periods beginning on or after 1 July 2014. These amendments include changes from the 2011-12-13 cycle of the annual improvements project, that affect 7 standards:

  The amendments include changes from the 2011-2-13 cycle of the annual improvements project that affect 4 standards:

  - IFRS 1, 'First time adoption'
  - IFRS 3, 'Business combinations'
  - IFRS 13, 'Fair value measurement' and
  - IAS 40, 'Investment property'.

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS (Continued)

Interpretations issued but not yet effective as of 30 September 2014

- IFRS 14 'Regulatory deferral accounts', effective from annual periods beginning on or after 1 January 2016. IFRS 14, 'Regulatory deferral accounts' permits first–time adopters to continue to recognise amounts related to rate regulation in accordance with their previous GAAP requirements when they adopt IFRS. However, to enhance comparability with entities that already apply IFRS and do not recognise such amounts, the standard requires that the effect of rate regulation must be presented separately from other items.

- Amendment to IFRS 11, 'Joint arrangements' on acquisition of an interest in a joint operation, effective from annual periods beginning on or after 1 January 2016. This amendment adds new guidance on how to account for the acquisition of an interest in a joint operation that constitutes a business. The amendments specify the appropriate accounting treatment for such acquisitions.

- Amendment to IAS 16, 'Property, plant and equipment' and IAS 38, 'Intangible assets', on depreciation and amortisation, effective from annual periods beginning on or after 1 January 2016. In this amendment the IASB has clarified that the use of revenuebased methods to calculate the depreciation of an asset is not appropriate because revenue generated by an activity that includes the use of an asset generally reflects factors other than the consumption of the economic benefits embodied in the asset. The IASB has also clarified that revenue is generally presumed to be an inappropriate basis for measuring the consumption of the economic benefits embodied in an intangible asset.

- Amendments to IAS 27, 'Separate financial statements' on the equity method, effective from annual periods beginning on or after 1 January 2016. These amendments allow entities to use the equity method to account for investments in subsidiaries, joint ventures and associates in their separate financial statements.

- Amendments to IFRS 10, 'Consolidated financial statements' and IAS 28, 'Investments in associates and joint ventures', effective from annual periods beginning on or after 1 January 2016. These amendments address an inconsistency between the requirements in IFRS 10 and those in IAS 28 in dealing with the sale or contribution of assets between an investor and its associate or joint venture. The main consequence of the amendments is that a full gain or loss is recognised when a transaction involves a business (whether it is housed in a subsidiary or not). A partial gain or loss is recognised when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary.

- IFRS 15 'Revenue from contracts with customers', effective from annual periods beginning on or after 1 January 2017. IFRS 15, 'Revenue from contracts with customers' is a converged standard from the IASB and FASB on revenue recognition. The standard will improve the financial reporting of revenue and improve comparability of the top line in financial statements globally.

- IFRS 9 'Financial instruments', effective from annual periods beginning on or after 1 January 2018. This standard replaces the guidance in IAS 39. It includes requirements on the classification and measurement of financial assets and liabilities; it also includes an expected credit losses model that replaces the current incurred loss impairment model.

The Group assumed that the given amendments and interpretations has no material effect on the financial statements.

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS (Continued)

2.3 Summary of significant accounting policies

The condensed consolidated interim financial statements as of and for the period ended 30 September 2014 have been prepared in accordance of TAS 34.

Except for the above mentioned policy change in Note 2.1.2, the accounting policies used in the preparation of these condensed interim consolidated financial statements as of and for the period ended 30 September 2014 are consistent with those used in the preparation of annual consolidated financial statements as of and for the year ended 31 December 2013. Accordingly, these condensed interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements as of and for the year ended 31 December 2013.

2.4 Segment reporting

Since the Company operates in one business segment and the operations are held in Turkey, there is no segment reporting. The information regarding the sales of the Company as to domestic and export sales and the categorization of sales as to product type is disclosed in Note 14.

NOTE 3 - CASH AND CASH EQUIVALENTS

	30 September 2014	31 December 2013
Cash in hand	12	5
Due from banks		
- demand deposits	210.226	92.947
- time deposits	1.682.970	1.580.298
Total	**1.893.208**	**1.673.250**

The breakdown of time deposits is as follows:

	30 September 2014		31 December 2013	
	Amount (TRY equivalent)	Effective interest rate per annum (%)	Amount (TRY equivalent)	Effective interest rate per annum (%)
TRY	575.251	9- 10,10	848.965	8,25-9,90
EUR	1.107.719	1,85 - 2,70	731.333	2,85-3,60
Total	**1.682.970**		**1.580.298**	

As of 30 September 2014, the maturities of time deposits vary between 1-119 days (31 December 2013: between 1 and 47 days).

As of 30 September 2014, the portion amounting to TRY1.311.494 (31 December 2013: TRY1.179.705) of the total demand and time deposits are deposited at the bank which is a related party of the Group.

As of 30 September 2014 and 2013, the cash and cash equivalents for the purpose of condensed consolidated statements of cash flows are as follows:

	2014	2013
Cash and banks	1.893.208	1.849.542
Less: interest accruals	(2.136)	(3.642)
Total	**1.891.072**	**1.845.900**

NOTE 4 - FINANCIAL ASSETS

a) Short-term financial assets:

As of 30 September 2014, Group has time deposits amounting to TRY229.968 with a maturity of 119 days containing an interest rate 1.90% for short term financing purposes (31 December 2013: TRY73.413 with a maturity of 181 days containing an interest rate of 3,3%).

b) Available for sale financial investments:

As of 30 September 2014, the Group has available for sale financial investments amounting to TRY158 (31 December 2013: TRY132).

NOTE 5 - FINANCIAL LIABILITIES

a) Short-term financial liabilities

	30 September 2014			31 December 2013		
	Original amount (thousand)	Amount (TRY)	Effective interest rate per annum (%)	Original amount (thousand)	Amount (TRY)	Effective interest rate per annum(%)
Borrowings in TRY (*)	-	-	-	-	58.547	8,50 -11
Borrowings in EUR	80.000	231.312	0,75	-	-	-
Total		**231.312**			**58.547**	

b) Short-term portion of long-term financial liabilities

	30 September 2014			31 December 2013		
	Original amount (thousand)	Amount (TRY)	Effective interest rate per annum (%)	Original amount (thousand)	Amount (TRY)	Effective interest rate per annum(%)
Borrowings in TRY (*)	-	366.633	7,44 -14,77	-	292.781	7,25 -14,35
Borrowings in EUR (*)	124.405	359.703	Euribor + 0,58	148.122	434.959	Euribor + 0,15
			Euribor + 2,80			Euribor + 1,96
Bonds ([1,2,3,,7])	-	220.450	6,86-10,53	-	217.058	6,76 - 10,27
Total		**946.786**			**944.798**	

c) Long-term financial liabilities

	30 September 2014			31 December 2013		
	Original amount (thousand)	Amount (TRY)	Effective interest rate per annum (%)	Original amount (thousand)	Amount (TRY)	Effective interest rate per annum(%)
Borrowings in TRY (*)	-	306.352	7,44 -14,77	-	343.965	7,25-14,35
Borrowings in EUR	347.810	1.005.658	Euribor + 0,58	253.156	743.392	Euribor+0,15
			Euribor + 2,80			Euribor+1,96
Bonds ([1,2,3,,6])	-	139.732	6,86-10,53	-	193.529	6,76-10,27
Total		**1.451.742**			**1.280.886**	

NOTE 5 - FINANCIAL LIABILITIES (Continued)

(*) As of 30 September 2014 and 31 December 2013, the whole short term bank borrowings which are denominated in TRY and the whole long-term bank borrowings which are denominated in TRY comprise bank borrowings obtained by KFK, consolidated subsidiary, to finance consumer financing loans.

(1) Based on the board of directors meeting decision at 10 February 2012 and decision about bond details at 18 October 2012, according to the Capital Market Law no 2499 with the mandatory permission, commercial papers amounting to TRY85.000 nominal value of bonds which is issued on 12 November 2012 with 24 months maturity, 8,14% coupon interest rate. These commercial papers were sold to Yapı Kredi Yatırım Menkul Değerler A.Ş which is a related party to the Group with public offering issuance.

(2) Based on the board of directors meeting decision at 4 April 2013, according to the Capital Market Law no 2499 with the necessary permission, comprise of bonds which is issued on 27 May 2013 with 24 months maturity, 6,76% coupon interest rate, and TRY50.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to Yapı Kredi Yatırım Menkul Değerler A.Ş.which is a related party to the Group with closed issuance.

(3) Based on the board of directors meeting decision at 4 April 2013, according to the Capital Market Law no 2499 with the necessary permission, comprise of bonds which is issued on 27 May 2013 with 20 months maturity, 6,76% coupon interest rate and TRY 30.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to Yapı Kredi Yatırım Menkul Değerler A.Ş. which is a related party to the Group with closed issuance.

(4) Based on the board of directors meeting decision at 4 April 2013, according to the Capital Market Law no 2499 with the necessary permission, comprise of bonds which is issued on 30 September 2013 with 21 months maturity, 9,72% coupon interest rate and TRY 50.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to TSKB A.Ş. with closed issuance.

(5) Based on the board of directors meeting decision at 4 April 2013, according to the Capital Market Law no 2499 with the necessary permission, comprise of bonds which is issued on 14 November 2013 with 24 months maturity, 10,27% coupon interest rate and TRY 60.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to Yapı Kredi Yatırım Menkul Değerler A.Ş. which is a related party to the Group with closed issuance.

(6) Based on the board of directors meeting decision at 18 April 2014, according to the Capital Market Law no 2499 with the necessary permission, comprise of bonds which is issued on 6 June 2014 with 24 months maturity, 10,23% coupon interest rate and TRY 75.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to Yapı Kredi Yatırım Menkul Değerler A.Ş. which is a related party to the Group with closed issuance.

Financial liabilities denominated in TRY has bear fixed interest rates while financial liabilities denominated EUR bear floating interest rates.

As of 30 September 2014, the portion amounting to TRY174.029 (31 December 2013: TRY116.868) of short-term and long-term financial liabilities are obtained through banks which are related parties of the Group.

NOTE 5 - FINANCIAL LIABILITIES (Continued)

The redemption schedule of the long-term bank borrowings as of 30 September 2014 and 31 December 2013 is as follows:

	30 September 2014	31 December 2013
1-2 years	737.902	861.748
2-3 years	205.754	219.542
3-4 years	122.359	184.493
4-5 years	31.530	15.103
5 years and more	354.197	-
Total	**1.451.742**	**1.280.886**

Long-term loans denominated in Euro were obtained to finance the investment to manufacture New Doblo and Mini Cargo light commercial vehicles. According to the manufacturing agreements signed by the Group, the repayment obligations related to these loans obtained for New Doblo is guaranteed by Fiat and Mini Cargo is guaranteed by Fiat and "PSA" through future purchases. The Group has obtained EUR350 million long-term loan limit in 2006 based on two different manufacturing agreements with the participation of various financial institutions to be utilized in investment of Mini Cargo. Long-term loans obtained in relation with the investment for Mini Cargo model- have been started to be paid beginning from the year 2008 till 2015 in equal installments. As of 30 September 2014, the remaining balance of the loan is TRY171.448 (equivalent of EUR59.296) (31 December 2013: TRY278.895 (equivalent of EUR118.593)). The Group's exposure to foreign exchange rate and interest fluctuations for the loan obtained in relation with the investment for Mini Cargo model is undertaken by Fiat and PSA.

At 4 March 2008, a loan agreement has been signed between the Company and i) Societe Generale, Credit Agricole, Fortis Bank S.A., Ing Bank NV and Intesa Sanpaolo banks as regulator, grantor and guarantor ii) EIB as guarantor and credit grantor and iii) Servizi Assicurativi per il Commercio Estreo S.p.A. (SACE) as guarantor role in the consortium amounting to EUR450 million. The loans, amounting to TRY583.762 (equivalent of EUR201.896 thousand) have been utilized as of 30 September 2014 (31 December 2013: TRY678.285 equivalent of EUR288.423 thousand) and have a maturity of ten years with two years grace period and it has been used for financing investment expenditures regarding the development and production of New Doblo. The Group's exposure to foreign exchange rate and interest fluctuations for the loan obtained in relation with the investment for New Doblo model is undertaken by Fiat.

In 2011, the Group has obtained a credit line by EUR36 million in order to use in capacity increase of New Doblo constructions. The repayment of principle amounts will be on equal installments between 2012 and 2018. As of 30 September 2014, the remaining balance of the loan amount to TRY66.916 (equivalent of EUR23.143).

The Group has obtained a credit by TRY86.742 (equivalent of EUR30.000 thousand) from Citibank N.A. on 11 April 2011 and a credit by TRY144.570 (equivalent of EUR50.000 thousand) from HSBC PLC on 31 March 2014 and TRY231.312 (equivalent of EUR84.000 thousand) from Eximbank on 25 March 2014 and a credit by TRY115.656 (equivalent of EUR40.000 thousand) from ING Bank on 31 March 2014 and a credit by TRY404.796 (equivalent of EUR140.000 thousand) from BNP Paribas with a export commitment.

NOTE 6 - TRADE RECEIVABLES AND PAYABLES

a) Trade receivables

	30 September 2014	31 December 2013
Trade receivables	350.891	273.184
Doubtful trade receivables	6.246	7.448
Less: provision for doubtful receivables	(6.010)	(7.210)
Less: unearned credit finance income	(2.656)	(1.925)
Total	**348.471**	**271.497**

Movement of the provision for doubtful receivables in the current period is as follows:

	2014	2013
1 January	7.210	5.950
Current year provision	(1.200)	-
30 September	**6.010**	**5.950**

Collaterals received related with trade receivables

As of 30 September 2014, the letter of guarantees, guarantee notes, mortgages and direct debit system limit (payment guarantee limit secured by the banks) obtained as collateral for trade receivables amounts to TRY77.906, TRY3.431, TRY11.137 and TRY435.459, respectively (31 December 2013: letter of guarantees amounting to TRY48.065, guarantee notes amounting to TRY17.207, mortgages amounting to TRY11.137 and direct debit system limit amounting to TRY412.244).

b) Trade payables

	30 September 2014	31 December 2013
Trade payables	541.602	666.610
Less: not accrued credit finance expense	(2.675)	(2.330)
Total	**538.927**	**664.280**

NOTE 7 - RECEIVABLES FROM FINANCE SECTOR OPERATIONS

	30 September 2014	31 December 2013
Short-term consumer financing loans	649.360	644.371
Non-performing loans	40.539	40.190
	689.899	**684.561**

	30 September 2014	31 December 2013
Provisions for impairment on loans		
Less: provision for specific loan impairment	(16.296)	(12.828)
Less: provision for general loan impairment	(6.892)	(6.861)
Total	**666.711**	**664.872**
Long-term consumer financing loans	495.582	542.572
Less: provision for general loan impairment		
Provision for general loan impairment	(5.060)	(5.561)
Total	**490.522**	**537.011**

As of 30 September 2014, TRY and foreign currency denominated loans originated by the Group bear interest rates ranging between 0.75% and 1.73% per month (31 December 2013: between 0,70% and 1,73%) and there is no foreign exchange loans (31 December 2013: None).

The maturities of long-term consumer financing loans are as follows:

Years	**30 September 2014**	**31 December 2013**
1 to 2 years	309.941	353.106
2 to 3 years	141.594	135.577
3 to 4 years	38.206	48.328
More than 4 years	781	-
Total	**490.522**	**537.011**

NOTE 7 - RECEIVABLES FROM FINANCE SECTOR OPERATIONS (Continued)

As of 30 September 2014 and 2013 movements of the provision for loan impairment are as follows:

	2014	**2032**
1 January	25.250	20.379
Current year provision	4.164	4.405
Recoveries from loans under follow-up	(1.166)	(1.458)
30 September	**28.248**	**23.326**

The Group has obtained pledge rights as a guarantee for its consumer financing loans, up to total amount of receivables, depending on the agreement between the Group and the consumers. As of 30 September 2014 the fair value of guarantees obtained for the consumer loans, which have been impaired, amounts to TRY1.324 (31 December 2013: TRY1.367). Furthermore, the Group obtains mortgage guarantees where necessary. The Group has mortgage guarantee on vehicles for all consumer financing loans that Group booked special provision amounting to TRY16.296 (31 December 2013: TRY12.828).

NOTE 8 - INVENTORIES

	30 September 2014	**31 December 2013**
Raw materials	146.240	99.703
Work-in-progress	38.864	82.255
Finished goods	87.005	27.270
Imported vehicles	47.558	60.949
Spare parts	41.140	34.577
Goods in transit	107.444	77.604
Less: provision for impairment on inventories (-)	(13.078)	(2.925)
Total	**455.173**	**379.433**

NOTE 9 - INVESTMENT PROPERTIES

The movement of investment properties for six months period ended 30 September 2014 and 2013 is as follows:

	2014	**2013**
1 January, net book value	27.805	24.100
Additions	-	-
30 September, net book value	**27.805**	**24.100**

As of 31 December 2013, the fair value of the property has been determined as TRY 27.805 (2012: TRY24.100), by using benchmarking method. Relevant valuation report is based on valuation determined by an independent firm which has CMB license and necessary professional experience.

NOTE 10 - PROPERTY, PLANT AND EQUIPMENT

The movement of property, plant and equipment and the accumulated depreciation for six months interim period ended 30 September 2014 is as follows:

	Land, land improvements and buildings	Machinery and equipments	Furniture and fixtures	Vehicles	Leasehold improvements	Construction in progress	Total
1 January, net book value							
Cost	362.559	3.234.464	352.266	39.832	10.233	205.119	4.204.473
Accumulated depreciation	(203.641)	(2.448.240)	(255.444)	(30.569)	(5.411)	-	(2.943.305)
Net book value	**158.918**	**786.224**	**96.822**	**9.263**	**4.822**	**205.119**	**1.261.168**
1 January 2014, net book value	158.918	786.224	96.822	9.263	4.822	205.119	1.261.168
Additions	-	133	1	-	23	176.236	176.393
Disposals, net	-	(700)	(377)	(1.112)	-	-	(2.189)
Transfers	4.337	144.472	20.605	3.505	-	(172.919)	-
Depreciation charge for the period	(5.479)	(106.660)	(18.786)	(2.606)	(253)	-	(133.784)
30 September 2014, net book value	**157.776**	**823.469**	**98.265**	**9.050**	**4.592**	**208.436**	**1.301.588**
As of 30 September 2014							
Cost	366.896	3.378.369	372.495	42.225	10.256	208.436	4.378.677
Accumulated depreciation	(209.120)	(2.554.900)	(274.230)	(33.175)	(5.664)	-	(3.077.089)
30 September 2014, net book value	**157.776**	**823.469**	**98.265**	**9.050**	**4.592**	**208.436**	**1.301.588**

As of 30 September 2014 there are no pledges or collaterals on property, plant and equipment (31 December 2013: None).

As of 30 September 2014, total cost of fully depreciated property, plant and equipment, still in use, is TRY1.823.034 (31 December 2013: TRY1.849.701).

NOTE 10 - PROPERTY, PLANT AND EQUIPMENT (Continued)

During the interim period ended 30 September 2013, the movement of property, plant and equipment and the accumulated depreciation is as follows:

	Land, land improvements and buildings	Machinery and equipments	Furniture and fixtures	Vehicles	Leasehold improvements	Construction in progress	Total
1 January, net book value							
Cost	355.256	3.185.967	328.069	36.316	10.233	109.929	4.025.770
Accumulated depreciation	(196.598)	(2.308.194)	(232.838)	(27.292)	(5.075)	-	(2.769.997)
Net book value	**158.658**	**877.773**	**95.231**	**9.024**	**5.158**	**109.929**	**1.255.773**
1 January 2013, net book value	158.658	877.773	95.231	9.024	5.158	109.929	1.255.773
Additions	-	92	53	-	-	68.576	68.721
Disposals, net	-	(678)	(288)	(1.015)	-	-	(1.981)
Transfers	649	24.307	9.618	2.848	-	(37.422)	-
Depreciation charge for the period	(5.265)	(104.830)	(16.787)	(2.345)	(252)	-	(129.479)
30 September 2013, net book value	**154.042**	**796.664**	**87.827**	**8.512**	**4.906**	**141.083**	**1.193.034**
As of 30 September 2013							
Cost	355.905	3.209.688	337.452	38.149	10.233	141.083	4.092.510
Accumulated depreciation	(201.863)	(2.413.024)	(249.625)	(29.637)	(5.327)	-	(2.899.476)
30 September 2013, net book value	**154.042**	**796.664**	**87.827**	**8.512**	**4.906**	**141.083**	**1.193.034**

As of 30 September 2013 there are no pledges or collaterals on property, plant and equipment (31 December 2012: None).

As of 30 September 2013, total cost of fully depreciated property, plant and equipment, still in use, is TRY 1.857.942 (31 December 2012: 1.870.509 TL).

NOTE 11 - INTANGIBLE ASSETS

The movements of intangibles for interim period as of 30 September 2014 and 2013, are as follows:

	Licenses fee development costs	Others	Total
As of 1 January 2014			
Cost	1.464.387	64.713	1.529.100
Accumulated amortization	(863.782)	(42.451)	(906.233)
Net book value	**600.605**	**22.262**	**622.867**
1 January 2014, net book value	600.605	22.262	622.867
Additions	124.810	4.948	129.758
Amortization charge for the period	(116.275)	(7.102)	(123.377)
30 September 2014, net book value	**609.140**	**20.108**	**629.248**
As of 30 September 2014			
Cost	1.589.197	69.661	1.658.858
Accumulated amortization	(980.057)	(49.553)	(1.029.610)
30 September 2014, net book value	**609.140**	**20.108**	**629.248**

	Licenses fee development costs	Others	Total
As of 1 January 2013,			
Cost	1.380.923	58.403	1.439.326
Accumulated amortization	(720.699)	(34.566)	(755.265)
Net book value	**660.224**	**23.837**	**684.061**
1 January 2013, net book value	660.224	23.837	684.061
Additions	66.974	2.816	69.790
Amortization charge for the period	(106.478)	(5.967)	(112.445)
30 September 2013, net book value	**620.720**	**20.686**	**641.406**
As of 30 September 2013			
Cost	1.447.897	61.219	1.509.116
Accumulated amortization	(827.177)	(40.533)	(867.710)
30 September 2013, net book value	**620.720**	**20.686**	**641.406**

NOTE 11 - INTANGIBLE ASSETS (Continued)

Intangible assets are started to be amortized when the related assets are ready to be used. In relation to this, the Group has intangible assets amounting to TRY276.742 (31 December 2013: TRY 140.213), which are not started to be amortised.

As of 30 September 2014, total cost of fully depreciated intangible assets, still in use, is TRY177.842 (31 December 2013: 180.516 TL).

NOTE 12 - PROVISIONS, CONTINGENT ASSETS AND LIABILITIES

Short-term provisions:

	30 September 2014	31 December 2013
Provision for warranty	55.415	50.651
Provision for sales discounts	41.621	-
Provision for legal cases	4.407	4.407
Administrative expense accruals	3.168	1.209
Other	10.421	7.107
Total	**115.032**	**63.374**

Movement of the warranty provision is as follows:

	2014	2013
1 January	50.651	47.069
Paid during the period	(26.359)	(31.647)
Increase during the period	31.123	30.137
30 September	**55.415**	**45.559**

Movement of the provision for litigation is as follows:

	2014	2013
1 January	4.407	4.407
Paid during the period	-	-
30 September	**4.407**	**4.407**

Litigations against the Group

As of 30 September 2014 the total amount of outstanding legal claims brought against the Group is TRY7.670 (31 December 2013: TRY7.670). The Group has booked a reserve amounting to TRY4.407 (31 December 2013: TRY4.407) in the financial statements.

NOTE 12 - PROVISIONS, CONTINGENT ASSETS AND LIABILITIES (Continued)

Tax penalties

The tax audit reports related with 2008-2010 financial years that have been prepared following a tax inspection, are delivered to the Company in December 2013 by the Presidency of Tax Audit Committee of İstanbul Large Scaled Tax Payers. In these tax audit reports, various payments made to foreign based tax payer institutions are critised because of witholding and VAT as a responsible issues. In accordance with the tax audit reports, Tofaş is imposed to pay 13,4 million TRY as tax base and TRY23.8 million tax penalty in 2008, TRY8.4 million tax base and TRY14.9 million tax penalty in 2009, TRY9.1 million tax base and TRY16.2 million tax penalty in 2010. The announcement of these reports and their details had been made by the Company on 16 December 2013 and 30 December 2013 via POA.

On the other hand, The tax audit reports related with 2011-2012 financial years that have been prepared following a tax inspection, are delivered to the Company by the Presidency of Tax Audit Committee of İstanbul Large Scaled Tax Payers. In these tax audit reports various payments made to foreign based tax payer institutions are critised because of witholding and VAT as a responsible issues. In accordance with the tax audit reports, Tofaş is imposed to pay
TRY5.1 million as tax base and TRY5.1 million tax penalty in 2011, TRY4.8 million tax base and TRY4.8 million tax penalty in 2012. The announcement of these reports and their details had been made by the Company on 11 April 2014 via POA.

According to the Company, practices subject to critisizm, is in compliance and consistent with the related regulations and international agreements regarding to the prevention of double taxation. The Company is planning to perform all its legal rights including settlement and all other legal process with regard to these reports. In case of a possible legal process, it is more likely to result in favor of the Company than against the Company, no additional provision is reflected to the financial statements of the Company.

NOTE 12 - PROVISIONS, CONTINGENT ASSETS AND LIABILITIES (Continued)

Guarantees provided by the Group:

The breakdown of letters of guarantee, guarantee notes given, mortgage and pledges (together referred to as guarantees) by the Group as of 30 September 2014 and 31 December 2013 is as follows:

	2014	**2013**
A. Total amount of Guarantees provided by the Company on behalf of itself	81.837	10.075
B. Total amount of Guarantees provided on behalf of the associates accounted under full consolidation method	-	-
C. Provided on behalf of third parties in order to maintain operating activities (to secure third party payables)	-	-
D. Other Guarantees given		
i) Total amount of Guarantees given on behalf of the parent Company	-	-
ii) Total amount of Guarantees provided on behalf of the associates which are not in the scope of B and C	-	-
iii) Total amount of Guarantees provided on behalf of third parties which are not in the scope of C	-	-
	81.837	**10.075**

As of 30 September 2014 and 31 December 2013, the ratio of guarantees given by the Group on behalf of third parties or on behalf of its parent/associates to total equity is zero.

Other

As of 30 September 2014 the Group has USD822 million of export commitments to be realized until 8 October 2014 in connection with the export incentive certificates. In connection with these export incentives certificates USD929 million of the committed export sales have been realized as of 30 September 2014. (31 December 2013: USD822 million of export commitments to be realized until 8 October 2014 and in connection with the export incentive certificates, USD916 million of the committed export sales have been realized). Additionally, the Group has USD1.028 million of export commitment to be realized until 6 October 2014 in connection with the export incentive certificates. In connection with these export incentive certificates, USD1.108 million of the committed export sales have been realized as of 30 September 2014 (31 December 2013: USD767 million of export commitments to be realized until 6 October 2014 and in connection with the export incentive certificates, USD453 million of the committed export sales have been realized). The Group has USD1.053 million of export commitment to be realized until 8 April 2015 in connection with the export incentive certificates. In connection with these export incentive certificates, USD575 million of the committed export sales have been realized as of 30 September 2014

The long-term bank borrowing agreement related to the financing of MCV and New Doblo projects requires the Group to comply with certain financial ratios. Such financial ratios are met by the Group as of 30 September 2014.

NOTE 13 - OTHER ASSETS AND LIABILITES

a) Other current assets

	30 September 2014	31 December 2013
VAT receivables	17.448	46.351
Income accruals	1.750	3.171
Other	5.178	2.194
Total	**24.376**	**51.716**

b) Other current liabilities

	30 September 2014	31 December 2013
Expense provisions	35.025	19.794
Social securities payable	10.980	10.457
Taxes and funds payable	8.989	20.329
Advances taken	839	769
Other	9.626	4.805
Total	**65.459**	**56.154**

NOTE 14 - SALES

a) Net sales

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Export sales	3.223.069	902.736	2.990.302	944.459
Domestic sales	1.916.054	759.858	2.082.242	688.288
Other income from operational activities	41.386	22.171	75.663	26.983
Total	**5.180.509**	**1.684.765**	**5.148.207**	**1.659.730**

The amount of sales discounts is TRY161.851 (30 September 2013: TRY177.787).

NOTE 14 - SALES (Continued)

b) Production and sales quantities

	Production		Sales	
	1 January - 30 September 2014	1 January - 30 September 2013	1 January - 30 September 2014	1 January - 30 September 2013
Manufactured Vehicle				
New Doblo	67.582	67.694	66.177	66.853
MCV	59.123	79.250	58.774	78.992
Linea	22.356	31.201	21.467	31.416
Doblo	7.142	7.092	7.127	9.396
Albea	-	-	-	1
Palio-Palio Van	-	-	-	-
Imported Vehicles				
Ducato	-	-	4.674	4.603
Fiat 500	-	-	1.891	2.334
Grande Punto	-	-	1.610	5.283
Jeep	-	-	753	618
Alfa Romeo	-	-	679	755
Freemont 4x4	-	-	310	562
Lancia	-	-	154	539
Panda	-	-	121	219
Bravo	-	-	97	326
Maserati	-	-	51	14
Transit satış	-	-	25	-
Ferrari	-	-	9	17
Scudo	-	-	1	5
Total	**156.203**	**185.237**	**163.920**	**201.933**

NOTE 15 - RESEARCH AND DEVELOPMENT EXPENSES, MARKETING, SELLING AND DISTRIBUTION EXPENSES AND GENERAL ADMINISTRATIVE EXPENSES

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Selling and marketing expenses	157.784	55.691	153.160	49.955
General administrative expenses	128.918	43.293	111.776	38.598
Research and development expenses	5.067	782	10.340	1.837
Total	**291.769**	**99.766**	**275.276**	**90.390**

a) Marketing, selling and distribution expenses

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Transportation and insurance expenses	34.960	12.444	36.848	12.508
Warranty expenses	34.461	13.834	32.574	11.146
Advertisement expenses	33.752	12.184	33.562	10.728
Personnel expenses	30.289	9.916	26.931	9.170
Exhibition-fair expenses	1.686	938	1.599	665
Depreciation and amortization expenses	1.555	514	1.852	610
Other	21.081	5.861	19.794	5.128
Total	**157.784**	**55.691**	**153.160**	**49.955**

b) General and administrative expenses

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Personnel expenses	51.833	16.965	46.557	16.021
Depreciation and amortization expenses	12.995	4.598	10.508	3.592
IT expenses	11.744	3.946	10.948	3.868
Outsourcing expenses	10.573	3.816	8.512	2.751
Duties, taxes and levies	6.016	2.220	4.483	1.354
Travel expenses	5.028	1.456	3.362	1.553
Insurance expenses	4.059	1.363	3.904	1.374
Rent expenses	1.044	345	1.031	387
Other	25.626	8.584	22.471	7.698
Total	**128.918**	**43.293**	**111.776**	**38.598**

NOTE 16 - OTHER INCOME AND EXPENSES FROM MAIN OPERATIONS

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Foreign exchange gain	231.311	63.280	81.482	21.900
Interest expenses	22.330	8.388	7.011	2.850
Other income	7.157	629	7.552	2.950
Total	**260.798**	**72.297**	**96.045**	**27.700**

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Foreign exchange loss	(296.820)	(86.170)	(178.863)	(77.396)
Interest expenses	(12.341)	(2.956)	(8.532)	(2.187)
Other expenses	(6.389)	(2.032)	(3.695)	(1.314)
Total	**(315.550)**	**(91.158)**	**(191.090)**	**(80.897)**

NOTE 17 - FINANCIAL INCOME AND EXPENSES

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Foreign exchange gains	210.354	77.028	177.719	65.427
Interest income	45.375	13.501	58.359	20.158
Total financial income	**255.729**	**90.529**	**236.078**	**85.585**

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Foreign exchange losses	(204.202)	(66.862)	(133.750)	(37.522)
Interest expenses	(39.139)	(14.291)	(19.125)	(7.012)
Total financial expenses	**(243.341)**	**(81.153)**	**(152.875)**	**(44.534)**
Net financial income / (expenses)	**12.388**	**9.376**	**83.203**	**41.051**

NOTE 18 - TAX ASSETS AND LIABILITIES

a) General

The Group is subject to taxation in accordance with the tax regulation and the legislation effective in Turkey.

In Turkey, the corporation tax rate from 1 January, 2006 onwards is 20%. Corporate tax returns are required to be filed by the twenty-fifth day of the fourth month following the balance sheet date and taxes must be paid in one installment by the end of the fourth month. The tax legislation provides for a temporary tax of 20% to be calculated and paid based on earnings generated for each quarter. The amounts thus calculated and paid are offset against the final corporate tax liability for the year.

As of 31 December 2008, the Group had written off deferred tax assets arising from unused investment incentives due to the expiration as of 31 December 2010, amounting to TRY2.141.858, through statement of income. Upon the meeting held by the Constitutional Court dated 15 October 2009 and upon the Constitutional Court conclusion, unused investment incentives of the Group have become available for use again and the Group has recognized deferred tax assets over the investment by increasing in proportion of PPI and revaluation rate amounted to TRY1.996.289 as of 30 September 2014.

In Turkey, the tax legislation does not permit a parent company and its subsidiaries to file a consolidated tax return. Therefore, provision for taxes, as reflected in the consolidated financial statements, has been calculated on a separate-entity basis

Corporate tax losses can be carried forward for a maximum period of five years following the year in which the losses were incurred. The tax authorities can inspect tax returns and the related accounting records for a retrospective maximum period of five years.

The taxation on income for 30 September 2014 and 2013 are as follows:

	1 January - 30 September 2014	**1 July - 30 September 2014**	**1 January - 30 September 2013**	**1 July - 30 September 2013**
Current year corporate tax	(23.662)	(9.214)	(39.643)	(673)
Deferred tax expense	64.311	35.261	(10.956)	(5.473)
Total	**40.649**	**26.047**	**(50.599)**	**(6.146)**

	30 September 2014	**31 December 2013**
Current period corporate tax	23.662	32.841
Less: prepaid corporate tax (-)	(16.420)	(48.380)
Payable / (prepaid) corporate tax	**7.242**	**(15.539)**

NOTE 18 - TAX ASSETS AND LIABILITIES (Continued)

b) Deferred tax assets and liabilities

The breakdown of temporary differences and the resulting deferred tax assets and liabilities provided at 30 September 2014 and 31 December 2013 using the current effective tax rates were as follows:

	Cumulative temporary differences		Deferred Tax asset/(liabilities)	
	30 September 2014	**31 December 2013**	**30 September 2014**	**31 December 2013**
Unused investment incentive allowances	542.028	429.396	174.311	142.679
Provision for employee termination benefits and unused vacation	150.650	146.018	30.130	29.204
Deferred income	37.342	50.199	7.468	10.040
Warranty provisions	55.415	50.651	11.083	10.130
Deferred investment incentive allowances	1.996.289	2.209.950	3.993	4.420
Property, plant and equipment and intangibles and inventories	778.735	875.479	(155.747)	(172.769)
Other	(23.470)	(27.150)	4.694	5.430
Deferred tax asset, net	**3.536.989**	**3.734.543**	**75.932**	**29.134**

The movement of the deferred tax asset balance during the period is as follows:

	2014	**2013**
Deferred tax asset at 1 January	29.134	9.768
Deferred tax expense	64.311	(10.956)
Actuarial loss on post employment termination benefit obligation (*)	(17.513)	21.472
Cumulative losses on hedging (*)	-	702
Deferred tax assets, 30 September	**75.932**	**20.986**

NOTE 19 - TRANSACTIONS AND BALANCES WITH RELATED PARTIES

Bank deposits and financial loans at related parties:	**30 September 2014**	**31 December 2013**
Yapı Kredi Bank A.Ş. (deposit)	1.311.494	1.179.705
Yapı Kredi Bank A.Ş. (financial loan)	(174.029)	(116.868)
Total	**1.137.465**	**1.062.837**

	30 September 2014	**31 December 2013**
Due from related parties		
Otokoç A.Ş. (Otokoç - Subsidiary of Koç Holding A.Ş.)	140.147	159.657
Fiat	35.907	76.705
Other	1.053	3.225
Total	**177.107**	**239.587**

	30 September 2014	**31 December 2013**
Due to related parties		
Fiat	861.813	667.984
Mako Elektrik Sanayi ve Ticaret A.Ş. (Mako - Associate company of Fiat)	14.283	8.873
Other	31.252	28.975
Total	**907.348**	**705.832**

Related party transactions

Sales

	1 January - 30 September 2014	**1 July - 30 September 2014**	**1 January - 30 September 2013**	**1 July - 30 September 2013**
Sales				
Fiat	2.471.379	714.633	2.336.981	728.438
Otokoç A.Ş.	657.815	252.080	683.707	210.683
Other	35.953	3.084	17.935	4.844
Total	**3.165.147**	**969.797**	**3.038.623**	**943.965**

NOTE 19 - TRANSACTIONS AND BALANCES WITH RELATED PARTIES (Continued)

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Ram Dış Ticaret A.Ş.	87.525	28.885	64.754	25.606
Zer Merkezi Hiz. ve Tic. A.Ş.	59.673	25.213	59.885	21.335
Otokoç A.Ş.	48.400	21.906	81.035	21.265
Mako Elektrik Sanayi ve Ticaret A.Ş.	43.217	13.471	76.310	18.501
Matay Otomotiv Yan San.ve Tic.A.Ş.	24.855	7.666	25.785	7.538
Plastiform Plastik San.Tic. A.Ş.	19.642	6.277	18.645	5.881
Koç Sistem	11.247	4.031	8.872	4.824
Koç Holding	6.370	2.282	4.531	1.148
Setur Servis Turistik	6.249	1.232	3.476	1.317
Opet Fuchs Madeni Yağlar Tic. A.Ş.	5.720	1.783	6.869	2.242
Ram Sigorta Aracılık A.Ş.(*)	4.766	1.509	4.596	1.472
Akpa Dayanıklı Tüketim Lpg ve Akaryakıt Ürünleri Paz. A.Ş.	4.453	1.502	4.726	1.476
Diğer	47.841	44.607	5.128	177
Total	**369.958**	**160.364**	**364.612**	**112.782**

(*) Balance consists of total paid and accrued policy premiums signed via Ram Sigorta Aracılık Hizmetleri A.Ş. "An insurance agency" which is not related with a related party.

Foreign trade good, material and service purchase

	1 January - 30 September 2014	1 July - 30 September 2014	1 January - 30 September 2013	1 July - 30 September 2013
Fiat	2.079.710	656.422	2.059.277	698.494
Diğer	22.176	9.221	14.506	5.459
Total	**2.101.886**	**665.643**	**2.073.783**	**703.953**

Interest income from related parties, for the nine-month period ended 30 September 2014 is TRY30.944 (30 September 2013: TRY19.100).

Salaries and similar benefits paid to the top management consisting of 32 persons (2013: 28 persons) for the nine-month period ended 30 September 2014 amount is TRY8.287 (30 September 2013: TRY7.691).

Furthermore, as of 30 September 2014, wholly owned subsidiary KFK has sold the exclusive issuance of bonds and treasury bills to related parties. It is accounted under other financial liabilities with a carrying amount of TRY360.182 (31 December 2013: TRY410.687)

NOTE 20 - EARNINGS PER SHARE

Earnings per share are determined by dividing net income by the weighted average number of shares that have been outstanding during the related period concerned. The weighted average number of shares outstanding is 50.000.000.000 and as of 30 September 2014 and 2013 earnings per share is TRY0,79 and TRY0,64 respectively.

NOTE 21 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT

Financial risk management objectives and policies

The Group's principal financial instruments are cash and cash equivalents and bank borrowings. The main purpose of these financial instruments is to raise finance for the Group's operations. The Group has various other financial instruments such as trade debtors and trade creditors, which arise directly from its operations. The main risks arising from the Group's financial instruments are interest rate risk, liquidity risk, foreign currency risk and credit risk. The Group management reviews and agrees policies for managing each of the risks as summarized below:

Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group attempts to control credit risk by monitoring credit exposures, limiting transactions with specific counterparties, and continually assessing the creditworthiness of the counterparties. It is the Group policy that all customers who wish to trade on credit terms are subject to credit screening procedures and the Group also obtains collaterals from customers when appropriate. In addition, receivable balances are monitored on an ongoing basis with the result that the Group's exposure to bad debts is not significant. Trade receivables are evaluated by management based on their past experiences and current economic condition, and are presented in financial statements net of provision for doubtful receivables (Note 6).

The amounts stated in the balance sheets reflects the maximum risk exposure of the Group.

NOTE 21 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

	Trade Receivables					
30 September 2014	**Related Party**	**Other party**	**Other receivables**	**Bank deposit (Not 3)**	**Derivative instruments**	**Receivables from finance operations**
Maximum credit risk exposure as of reporting date (A+B+C+D+E) (1)	**177.107**	**348.471**	**121**	**1.893.208**	**230.126**	**1.157.233**
- Maximum risk secured by guarantee (2)	-	528.151	-	-	-	1.149.819
A.Net book value of financial assets neither overdue nor impaired	177.107	263.123	121	1.893.208	230.126	1.132.991
- Maximum risk secured by guarantee	-	527.933	-	-	-	1.132.991
B.Net book value of financial assets of which conditions are negotiated, otherwise considered as impaired or overdue	-	-	-	-	-	-
C.Net book value of assets overdue but not impaired	-	85.130	-	-	-	9.365
- Maximum risk secured by guarantee	-	-	-	-	-	-
D.Net book value of impaired assets	-	218	-	-	-	14.877
- Overdue (gross book value)	-	6.228	-	-	-	31.174
- Impairment (-) (Note 6)	-	(6.010)	-	-	-	(16.297)
- Net value under guarantee	-	218	-	-	-	16.828
- Not overdue (gross book value)	-	-	-	-	-	1.144.944
-Impairment (-)	-	-	-	-	-	(11.858)
- Net value under guarantee	-	-	-	-	-	1.325.193
E.Off- balance sheet items having credit risk	-	-	-	-	-	-

	Trade Receivables					
31 December 2013	**Related Party**	**Other party**	**Other receivables**	**Bank deposit (Note 3)**	**Derivative instruments**	**Receivables from finance operations**
Maximum credit risk exposure as of reporting date (A+B+C+D+E) (1)	**239.587**	**271.497**	**215**	**1.673.245**	**73.545**	**1.201.883**
- Maximum risk secured by guarantee (2)	-	491.581	-	-	-	1.191.396
A. Net book value of financial assets neither overdue nor impaired	189.004	271.259	215	1.673.245	73.545	1.174.521
- Maximum risk secured by guarantee	-	491.363	-	-	-	1.174.521
B. Net book value of financial assets of which conditions are negotiated, otherwise considered as impaired or overdue	-	-	-	-	-	-
C. Net book value of assets overdue but not impaired	50.583	-	-	-	-	12.168
- Maximum risk secured by guarantee		-	-	-	-	-
D. Net book value of impaired assets	-	238	-	-	-	15.194
- Overdue (gross book value)	-	7.448	-	-	-	28.022
- Impairment (-) (Note 6)	-	(7.210)	-	-	-	(12.828)
- Net value under guarantee	-	7.210	-	-	-	16.875
- Not overdue (gross book value)	-	-	-	-	-	1.186.944
- Impairment (-)	-	-	-	-	-	(12.301)
- Net value under guarantee	-	-	-	-	-	1.366.274
E. Off- balance sheet items having credit risk	-	-	-	-	-	-

(1) Guarantees received and factors increasing the loan reliability are not considered when determining this amount.
(2) Guarantees consist of guarantee notes, guarantee checks, mortgages and car pledges received from customers.

NOTE 21 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

Aging analysis of trade receivables

Aging of the Group's receivables which are overdue but not impaired is as follows:

30 September 2014	**Trade receivables**
1- 30 days past due	49.661
1- 3 months past due	7.688
3- 12 months past due	20.075
1- 5 years past due	7.706
Over 5 years past due	-
Total	**85.130**

-

31 December 2013	**Trade receivables**
1- 30 days past due	40.169
1- 3 months past due	9.581
3- 12 months past due	13.001
1- 5 years past due	-
Over 5 years past due	-
Total	**62.751**

Amount secured with guarantees -

As of 30 September 2014, TRY16.264 of total past due receivables of the Group is due from the Group's related party, Fiat (31 December 2013: TRY19.768). As of 30 September 2014, the Group's payables to Fiat amount to TRY861.813 (31 December 2013: TRY667.944).

Foreign currency risk

The Group is exposed to foreign exchange risk arising from the ownership of foreign currency denominated assets and liabilities with sales or purchase commitments. The policy of the Group is to compare every foreign currency type for the probable sales or purchases in the future.

As explained in detail in Note 5, according to the manufacturing agreements signed by the Group, the repayment obligations related to loans obtained for Doblo are guaranteed by Fiat and for Mini Cargo by Fiat and PSA through future purchases. As of 30 September 2014, loans obtained related with Doblo vehicle project have entirely been repaid. The Group's exposure to foreign exchange rate and interest rate fluctuations in relation with the loan obtained to manufacture Mini Cargo vehicles is undertaken by Fiat and PSA.

NOTE 21 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

30 September 2014		Table of foreign currency position TRY equivalent(functional currency)	USD	EUR	Other
1.	Trade receivables	68.588	-	23.721	-
2a.	Monetary financial assets (including cash, bank accounts)	1.506.504	6	521.024	1
2b.	Non-monetary financial assets	-	-	-	-
3.	Other	134.603	-	46.553	-
4.	**Current assets (1+2+3)**	**1.709.695**	**6**	**591.298**	**1**
5.	Trade receivables	-	-	-	-
6a.	Monetary financial assets	-	-	-	-
6b.	Non-monetary financial assets	-	-	-	-
7.	Other	185.716	-	64.230	-
8.	**Non-current assets (5+6+7)**	**185.716**	**-**	**64.230**	**-**
9.	**Total assets(4+8)**	**1.895.411**	**6**	**655.528**	**1**
10.	Trade payables	(994.159)	2	(343.835)	-
11.	Financial liabilities	(591.029)	-	(204.409)	-
12a.	Monetary other liabilities	(9)	-	(3)	-
12b.	Non-monetary other liabilities	-	-	-	-
13.	**Current liabilities (10+11+12)**	**(1.585.197)**	**2**	**(548.247)**	**-**
14.	Trade payables	-	-	-	-
15.	Financial liabilities	(1.005.659)	-	(347.810)	-
16a.	Monetary other liabilities	-	-	-	-
16b.	Non-monetary other liabilities	-	-	-	-
17.	**Non-current liabilities (14+15+16)**	**(1.005.659)**	**-**	**(347.810)**	**-**
18.	**Total liabilities (13+17)**	**(2.590.856)**	**2**	**(896.057)**	**-**
19.	Net asset/(liability) position of off--balance sheet derivative instruments (19a-19b)	-	-	-	-
19a.	Total hedged asset amount	-	-	-	-
19b.	Total hedged liability amount	-	-	-	-
20.	**Net foreign currency asset/(liability) position (9+18+19)**	**(695.445)**	**8**	**(240.529)**	**1**
21.	**Net foreign currency asset/(liability) position of monetary items (1+2a+5+6a-10-11-12a-14-1 5-16a)**	**(881.161)**	**8**	**(304.759)**	**1**
22.	Total fair value of financial instruments used for foreign currency hedging	-	-	-	-
23.	Export	(3.191.648)	-	(1.098.902)	-
24.	Import	2.379.004	322	810.713	153

(*) The Groups exposure to foreign exchange rate fluctuations on the long-term bank borrowings denominated in Euro are undertaken by Fiat and PSA. Accordingly, net foreign currency exposure of the Group excluding such borrowings as of 30 September 2014 is TRY4.448 foreign currency liability.

NOTE 21 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

		Table of foreign currency position TRY equivalent (functional			
31 December 2013		**currency)**	**USD**	**EUR**	**Other**
1.	Trade receivables	59.209	-	20.163	-
2a.	Monetary financial assets (including cash, bank accounts)	881.047	31	300.007	3
2b.	Non-monetary financial assets	77.562	-	26.413	-
3.	Other	-	-	-	-
4.	**Current assets (1+2+3)**	**1.017.818**	**31**	**346.583**	**3**
5.	Trade receivables	-	-	-	-
6a.	Monetary financial assets	-	-	-	-
6b.	Non-monetary financial assets	-	-	-	-
7.	Other	51.431	-	-	-
8.	**Non-current assets (5+6+7)**	**51.431**	**-**	**-**	**-**
9.	**Total assets (4+8)**	**1.069.173**	**31**	**346.583**	**3**
10.	Trade payables	(782.191)	104	(266.444)	-
11.	Financial liabilities	(434.810)	-	(148.071)	-
12a.	Monetary other liabilities	53	-	18	-
12b.	Non-monetary other liabilities	-	-	-	-
13.	**Current liabilities (10+11+12)**	**(1.216.948)**	**104**	**(414.497)**	**-**
14.	Trade payables	-	-	-	-
15.	Financial liabilities	(743.393)	-	(253.156)	-
16a.	Monetary other liabilities	-	-	-	-
16b.	Non-monetary other liabilities	-	-	-	-
17.	**Non-current liabilities (14+15+16)**	**(743.393)**	**-**	**(253.156)**	**-**
18.	**Total liabilities (13+17)**	**(1.960.341)**	**104**	**(667.653)**	**-**
19.	Net asset / (liability) position of off-balance sheet derivative instruments (19a-19b)	-	-	-	-
19a.	Total hedged asset amount	-	-	-	-
19b.	Total hedged liability amount	-	-	-	-
20.	**Net foreign currency asset/(liability) position (9+18+19)**	**(891.168)**	**135**	**(321.070)**	**3**
21.	**Net foreign currency asset/(liability) position of monetary items (1+2a+5+6a-10-11-12a-14-1 5-16a)**	**(1.020.085)**	**135**	**(347.483)**	**3**
22.	Total fair value of financial instruments used for foreign currency hedging	-	-	-	-
23.	Export	(4.149.978)	-	(1.623.970)	-
24.	Import	3.148.666	9	1.245.765	1.374

(*) The Groups exposure to foreign exchange rate fluctuations on the long-term bank borrowings denominated in EUR are undertaken by Fiat and PSA. Accordingly, net foreign currency exposure of the Group excluding such borrowings as of 31 December 2013 is TRY43.582 foreign currency asset position.

NOTE 21 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

The following table demonstrates the sensitivity to a possible change of 10% in the USD, EUR and other exchange rates in the Group's foreign currency denominated liabilities (excluding foreign currency denominated inventory and fixed asset purchase advances), with all other variables held constant, on the Group's income before tax as of 30 September 2014 and 31 December 2013:

Exchange rate sensitivity analysis table

	30 September 2014			
	Profit/loss		Equity	
	Appreciation of foreign currency	Depreciation of foreign currency	Appreciation of foreign currency	Depreciation of foreign currency
In case 10% appreciation of USD against TRY:				
1- USD net asset/liability	2	(2)	-	-
2- Amount hedged for USD risk (-)	-	-	-	-
3- USD net effect (1+2)	**2**	**(2)**	**-**	**-**
In case 10% appreciation of EUR against TRY:				
4- EUR net asset/liability	(83.456)	83.456	-	-
5- Amount hedged for EUR risk (-)	82.920	(82.920)	82.920	(82.920)
6- EUR net effect (4+5)	**(536)**	**536**	**82.920**	**(82.920)**
In case 10% appreciation of other exchange rates against TRY				
7- Other exchange rates net asset/liability	-	-	-	-
8- Amount hedged for other exchange rates risk (-)	-	-	-	-
9. Other exchange rates net effect (7+8)	**-**	**-**	**-**	**-**
Total (3+6+9)	**(534)**	**534**	**82.920**	**(82.920)**

Exchange rate sensitivity analysis table

	31 December 2013			
	Profit/loss		Equity	
	Appreciation of foreign currency	Depreciation of foreign currency	Appreciation of foreign currency	Depreciation of foreign currency
In case 10% appreciation of USD against TRY:				
1- USD net asset/liability	23	(23)	-	-
2- Amount hedged for USD risk (-)	-	-	-	-
3- USD net effect (1+2)	**23**	**(23)**	**-**	**-**
In case 10% appreciation of EUR against TRY:				
4- EUR net asset/liability	(75.426)	75.426	-	-
5- Amount hedged for EUR risk (-)	112.161	(112.161)	112.161	(112.161)
6- EUR net effect (4+5)	**36.735**	**(36.735)**	**112.161**	**(112.161)**
In case 10% appreciation of other exchange rates against TRY				
7- Other exchange rates net asset/liability	1	(1)	-	-
8- Amount hedged for other exchange rates risk (-)		-	-	-
9. Other exchange rates net effect (7+8)	**1**	**(1)**	**-**	**-**
Total (3+6+9)	**36.759**	**(36.759)**	**112.161**	**(112.161)**

NOTE 21 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

Interest rate risk

Interest rate risk stems from the probability of an impact of rate changes on financial accounts. The Group is exposed to interest rate risk due to maturity mismatch or differences of the assets and liabilities that are re-priced or matured in a specific period. These exposures are managed by using natural hedges that arise from offsetting interest rate sensitive assets and liabilities.

As of 30 September 2014 and 31 December 2013, the effect of +/- 0,5% change in interest rates until the next reporting period on the interest sensitive financial instruments in the balance sheet has been calculated as follows:

	1 January - 30 September 2014	**1 January - 31 December 2013**
Change in interest rates	%0,50	%0,50
Effect on net income before for taxes	(12)	(167)

Liquidity risk

Liquidity risk is the risk that an entity will be unable to meet its net funding requirements. The risk is mitigated by matching the cash in and out flow volume supported by committed lending limits from qualified credit institutions.

The breakdown of financial assets and liabilities according to their maturities is disclosed considering from balance sheet date to due date period. Financial assets and liabilities that have no certain due dates are classified in over one year column.

30 September 2014:

Expected maturities	**Book Value**	**Total cash outflow per agreement (=I+II+III+IV)**	**Less than 3 months (I)**	**Between 3-12 months (II)**	**Between 1 - 5 years (III)**	**Over 5 years (IV)**
Non-derivative financial liabilities						
Bank loans	2.269.658	2.599.310	401.092	841.769	1.002.252	354.197
Commercial paper issuance	360.182	726.815	187.785	399.298	139.732	-
Trade payables	1.446.275	928.180	651.735	276.445	-	-
Other current liabilities	65.459	65.459	65.459	-	-	-
Total	**4.141.574**	**4.319.764**	**1.306.071**	**1.517.512**	**1.141.984**	**354.197**

Expected maturities (or per agreement maturities)	**Book Value**	**Total cash outflow per agreement (=I+II+III+IV)**	**Less than 3 months (I)**	**Between 3-12 months (II)**	**Between 1 - 5 years (III)**	**Over 5 years (IV)**
Derivative financial assets (net)	-	-	-	-	-	-
Derivative cash inflows	-	-	-	-	-	-
Derivative cash outflows	-	-	-	-	-	-

NOTE 21 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

31 December 2013:

Expected maturities	Book Value	Total cash outflow per agreement (=I+II+III+IV)	Less than 3 months (I)	Between 3-12 months (II)	Between 1 - 5 years (III)	Over 5 years (IV)
Non-derivative financial liabilities						
Bank loans	2.090.702	2.112.009	212.359	860.925	1.038.725	-
Commercial paper issuance	410.587	761.497	66.199	501.769	193.529	-
Trade payables	1.370.112	691.494	640.557	50.937	-	-
Other current liabilities	56.154	56.154	56.154	-	-	-
Total	**3.927.555**	**3.621.154**	**975.269**	**1.413.631**	**1.232.254**	**-**

Expected maturities (or maturities per agreement)	Book Value	Total cash outflow per agreement (=I+II+III+IV)	Less than 3 months (I)	Between 3-12 months (II)	Between 1 - 5 years (III)	Over 5 years (IV)
Derivative financial assets (net)	**-**	**-**	**-**	**-**	**-**	**-**
Derivative cash inflows	-	-	-	-	-	-
Derivative cash outflows	-	-	-	-	-	-

Capital management policy

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value. The Group manages its capital structure and makes amendments to it, in light of changes in economic conditions.

The Group has the power to organize the dividend payments in order to regulate and keep the capital structure. There is no change in policy, target or processes of the Group as of 30 September 2014.

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